RURAL WATER DISTRICT NO. 2
BOYD COUNTY, NEBRASKA
STATEMENTS OF NET POSITION
DECEMBER 31, 2025 AND 2024

	2025	2024
ASSETS		
Current assets		
Cash	209,817	201,933
Certificates of deposit	433,566	170,686
Accounts receivable (and unbilled revenues)	51,856	41,669
Prepaid expenses	6,643	5,911
Inventory	31,379	33,519
Total current assets	733,261	453,718
Noncurrent assets		
Certificates of deposit	407,132	527,598
Restricted assets		
Cash - customer deposits	26,606	26,423
Certificates of deposit - bond reserves	135,831	130,611
Total restricted assets	162,437	157,034
Capital assets		
Land	745,819	745,819
Utility plant in service	7,533,730	7,526,392
Building	175,733	168,923
Other equipment and vehicles	272,477	272,477
Total capital assets	8,727,759	8,713,611
Less accumulated depreciation	(3,885,704)	(3,699,622)
Net capital assets	4,842,055	5,013,989
Other assets		
Patronage equity	98,446	96,174
TOTAL ASSETS	6,243,331	6,248,513
LIABILITIES		
Current liabilities		
Accounts payable	14,361	116,480
Accrued payroll taxes	2,788	2,100
Accrued wages	8,279	8,118
Current amount of long-term debt	29,292	30,729
Total current liabilities	54,720	157,427

RURAL WATER DISTRICT NO. 2
BOYD COUNTY, NEBRASKA
STATEMENTS OF NET POSITION
DECEMBER 31, 2025 AND 2024

	2025	2024
LIABILITIES (Continued)		
Noncurrent liabilities		
Customer advances for construction	25,000	25,000
NDEE Loan (net of current amounts)		59,853
Revenue bonds payable	531,441	560,437
Less current amounts	(29,292)	(30,729)
Total noncurrent liabilities	527,149	614,561
TOTAL LIABILITIES	581,869	771,988
NET POSITION		
Net investment in capital assets	4,310,614	4,393,699
Restricted for debt service	44,608	43,191
Restricted for replacements (reserve funds)	91,223	87,420
Unrestricted	1,215,017	952,215
TOTAL NET POSITION	5,661,462	5,476,525

See accompanying notes to financial statements.

RURAL WATER DISTRICT NO. 2
BOYD COUNTY, NEBRASKA
STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
DECEMBER 31, 2025 AND 2024

	2025	2024
OPERATING REVENUES		
Users fees	470,848	433,625
Miscellaneous income	14,398	15,400
Total operating revenues	485,246	449,025
OPERATING EXPENSES		
Salaries	99,444	93,370
Payroll taxes	8,474	6,760
Directors' expense and mileage	3,724	3,437
Professional fees	25,003	9,911
Utilities and telephone	68,195	56,863
Insurance	31,404	30,680
Repairs and maintenance	49,883	53,725
Postage and office supplies	9,158	7,814
Publication expense	431	446
Lab tests and water samples	1,805	2,302
Depreciation	186,082	157,415
Vehicle expense	4,727	8,796
Miscellaneous	8,518	7,026
Total operating expenses	496,848	438,545
OPERATING INCOME (LOSS)	(11,602)	10,480
OTHER REVENUE (EXPENSE)		
Hookup fees	55,000	25,500
Interest income	34,423	41,415
Interest and related expense	(21,791)	(12,629)
Insurance proceeds	6,042	1,660
Bond issue costs		(10,050)
Patronage dividends	6,807	7,956
Environmental remediation recovery	116,058	
Total other revenue (expense)	196,539	53,852

RURAL WATER DISTRICT NO. 2
BOYD COUNTY, NEBRASKA
STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
DECEMBER 31, 2025 AND 2024

	2025	2024
CHANGE IN NET POSITION	184,937	64,332
NET POSITION, beginning of year	5,476,525	5,412,193
NET POSITION, end of year	5,661,462	5,476,525

See accompanying notes to financial statements.

RURAL WATER DISTRICT NO. 2
BOYD COUNTY, NEBRASKA
STATEMENTS OF CASH FLOWS
DECEMBER 31, 2025 AND 2024

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from customers	460,661	437,745
Other receipts	14,398	15,400
Cash payments for goods and services	(204,858)	(180,276)
Cash payments to employees	(99,283)	(92,325)
Net cash provided by operating activities	170,918	180,544
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES		
Cash advances for construction	55,000	15,500
Payments for property and equipment	(120,635)	(805,308)
Principal payments on long-term debt	(88,849)	(70,438)
Proceeds of debt		399,950
Insurance proceeds	6,042	1,660
Interest and fees paid	(21,791)	(12,629)
Net cash used in capital and related financing activities	(170,233)	(471,265)
CASH FLOWS FROM NONCAPITAL AND RELATED FINANCING ACTIVITIES		
Environmental remediation recovery receipts	116,058	
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of certificate of deposit	(200,000)	
Sales of certificates of deposit	86,063	
Interest and dividends received	5,261	7,460
Net cash provided by (used in) investing activities	(108,676)	7,460
NET INCREASE (DECREASE) IN CASH	8,067	(283,261)
CASH (including restricted cash), beginning of year	228,356	511,617
CASH (including restricted cash), end of year	236,423	228,356

RURAL WATER DISTRICT NO. 2
BOYD COUNTY, NEBRASKA
STATEMENTS OF CASH FLOWS
DECEMBER 31, 2025 AND 2024

	2025	2024
Reconciliation of Operating Loss to Net Cash Provided By Operating Activities		
Operating income (loss)	(11,602)	10,480
Adjustments to reconcile operating loss to net cash provided by operating activities:		
Depreciation	186,082	157,415
(Increase) decrease in accounts receivable	(10,187)	4,120
(Increase) decrease in inventory	2,140	1,476
(Increase) decrease in prepaid expense	(732)	1,097
Decrease in accounts payable (operating)	4,368	5,349
Increase in accrued wages	161	1,045
Increase (decrease) in accrued expenses	688	(438)
Total adjustments	182,520	170,064
Net cash provided by operating activities	170,918	180,544
OTHER NONCASH ITEMS		
Noncash patronage capital	2,272	4,928
Interest added to CDs	27,991	36,984
Increase (decrease) in account payable for capital items	(106,487)	106,487

See accompanying notes to financial statements.